

3.5 PROFIT MAXIMISATION

MARKING SCHEME

1987/AL/I/05 C	1995/AL/I/10 A	2004/AL/I/12 C (86%)	2015/DSE/I/05 B (73%)	2018/DSE/I/06 D (42%)
1987/AL/I/25 A	1998/AL/I/29 C	2012/DSE/I/09 B (39%)	2016/DSE/I/12 B (76%)	2019/DSE/I/04 D
1992/AL/I/25 D	2001/AL/I/29 B	2014/DSE/I/06 C (56%)	2017/DSE/I/08 D (55%)	2019/DSE/I/10 D
2020/DSE/I/9 B	2021/DSE/I/10 A	2021/DSE/I/12 C	2022/DSE/I/11 A(74%)	2023/DSE/I/09 C(67%)
2024/DSE/I/10 D	2025/DSE/I/07 C			

SP/DSE/II/9(c)

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|---|-----|
| (i) It is a variable cost because it increases with output. | (1) |
| (ii) 600 units | (1) |
| (iii) 600 units | (1) |

2024/DSE/II/11b

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| (b) To maximise profit, a firm under perfect competition produces up to the point where the marginal cost of the last unit equals its marginal revenue (i.e., the market price). In choosing daily output, the monthly rental cost is viewed as a fixed cost as it does not vary with the quantity of output produced in a day. | (1) |
| As the increase in rental cost affects neither the marginal cost nor the market price, it does not affect the profit-maximising daily output quantity. | (1) |